1989. For decades Cuba had been sustained and cushioned by aid, trade, and in particular, the "fair trade" that the Soviets carried out with Cuba. Rather than paying "market" prices for Cuba's sugar – which had decreased precipitously as beet sugar and corn syrup provided lower-cost alternatives – the USSR paid prices that actually reflected what it cost to produce Cuban sugar. And Cuba's economy was utterly dependent on imports – especially fuel – that it bought using these earnings. Now the system had collapsed. The new policies, while painful and contradictory, were the only way to compensate for the loss in Soviet economic support and both revive the economy and maintain the social services that had become the trademark of the Revolution.

Social Impact of the Market Reforms

The reforms succeeded in bringing economic growth, but they also brought inequality. Government control of the economy had allowed for an extraordinarily egalitarian distribution of the country's wealth. Prior to 1989 Cuba's salary spread had ranged from about 80–90 pesos a month for the lowest paid worker, to about 450–500 pesos a month for a high government official – that is, a ratio of about 5 to 1. Now, the gap between those who had access to dollars and the private economy, and those who continued to subsist on their state salaries, grew astronomically. One economist estimated that the ratio was 829 to 1 in 1995, and 12,500 to 1 in 2001.[8]

Cuban jokes reflected the economic distortions. A woman brought her husband, a renowned brain surgeon, into the psychiatric ward. "He's hallucinating! He thinks that he got a job as a taxi driver and we've become rich!" By 2000, about half of Cuba's population had access to dollars, either through remittances, through their employment, or through self-employment.[9]

Global economic inequalities have led to a generalized phenomenon of "brain drain," in which highly skilled and educated workers leave the Third World for the First, where they can enjoy greater opportunities and attractive lifestyles. In Cuba, the Special Period led to what one analyst